

and governance. Otherwise, its future growth will be hindered. When I was managing an NGO or an NBFC, my customer base and reach were relatively limited. You cannot manage 30 million customers in a bank today in the same manner as I did with 5 million customers 10 years ago. Scaling up involves relying on a large number of people and layers. When you are small, you can be directly involved, but as you grow the business, it becomes essential to have well-established compliance and risk mitigation processes and systems in place. Without these, the business' future growth will be impacted.



Is risk management the biggest learning experience for this kind of model under a banking platform?

Traditionally, microcredit customers are seen as high-risk because the loans are unsecured. However, over the past 20 years, it has been proven that these borrowers can repay [loans]. It's the women borrowers themselves who have proven this, not me. They are not as risky as once thought of. They stay in their villages and continue to make payments or explain any difficulties they face. During and after the pandemic, even when

faced with challenges, there was a willingness to repay. My senior team visited customers and found that with Bandhan's support, their household needs were met. These customers attribute their progress to our support and ask only for time to repay their loans.

During the lockdown, when trains stopped running and shops closed, many hawkers and shop-owners lost their livelihoods. How could they do business under such conditions? It's important to understand the ground reality rather

important... there is no doubt about that. However, the point is that after all the crises (Covid-19, etc.), how many of these types of institutions have closed? None. This indicates that the model is very good... and caters to individuals that the traditional banking system fails to reach. In the world of microcredit, the Indian microcredit sector is more professional compared to any other country. Many countries visit us to observe our operational procedures... The industry has also received support from

cause some damage. But within a short time, we recovered as a country. And the microcredit industry is bouncing back. If you observe, customers are returning to group meetings and making payments. Yes, there have been some losses.

Second, there is the issue of man-made crises, which should be controlled. For instance, the Andhra Pradesh and Assam crises were not caused by customers. This risk can be mitigated. We should not say that we will not work in

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than just calculate risk from a distance. Every industry goes through ups and downs but eventually returns to normalcy and prosperity. We have seen this in steel and the real estate sector. So, while risk is always present, understanding the reality and planning accordingly is crucial. Serving these people is essential; otherwise, the country itself is at risk.



Is the answer to diversify into secured loans?
Diversification is very

regulators, which provide guidance to the players periodically. There is also a credit bureau specifically for microcredit customers.

So, a lot of systems, processes, and compliance measures have been set up to mitigate risk. However, if we consider the highest risk faced by the industry in the recent past, it was the pandemic... We have seen this in our lifetimes, but maybe earlier generations had not. So, this is a one-time event. We have to accept that such an event will

that industry because of issues, or we will not serve those customers, or we will not work in some states. That would mean creating fear and closing our eyes to the issue. That would not help the country.



Don't you think microfinance banking entities will eventually vacate this space as small finance banks are also allowed to convert into universal banks?

Each bank began with a specific segment. Some